

# Books & Taxes for Suite Owners

A one-page plan for stylists, barbers, estheticians and other salon-suite owners · 2026

Running your own suite means you are the business, the payroll and the tax department. Ten minutes a week and this routine keep your money clear and tax season calm.

## 1. Separate the money (do it this week)

- Open a business checking account and one card used **only** for the suite.
- All income goes in there; pay yourself by transfer.
- Never swipe the business card for personal things (and vice versa).

## 2. Know what counts as income

- Services, product sales, and tips (card **and** cash).
- Square, Booksy, Vagaro, GlossGenius pay out **after** fees: record the full sale and the fee separately.
- Forms: 1099-K from payment apps (\$20,000 and 200 sales threshold), 1099-NEC from businesses that pay you \$2,000+. Income counts even with no form.

## 3. Common deductions for suite owners

- Suite rent, products, tools and equipment
- Card and app fees, booking software, website
- License renewals, classes, continuing education
- Insurance, marketing, business share of your phone
- Business miles: supply runs, classes, events (2026: 72.5¢/mile Jan-Jun, 76¢ from Jul 1). Keep a log.

## 4. Set aside for taxes on every deposit

- Move **25-30%** of each payout into a separate tax savings account.
- Self-employment tax alone is **15.3%** (Social Security + Medicare), on top of federal and Georgia income tax.
- Tips: the new federal tips deduction (2025-2028) may lower *income* tax for stylists and barbers, not self-employment tax. Ask your preparer.

## 5. Pay estimated taxes four times a year

| Covers | Jan - Mar | Apr - May | Jun - Aug    | Sep - Dec  |
|--------|-----------|-----------|--------------|------------|
| Due    | April 15  | June 15   | September 15 | January 15 |

- Federal: IRS Direct Pay or your IRS online account (Form 1040-ES). Georgia: Georgia Tax Center (Form 500-ES), same four dates.
- Simple safe harbor: each quarter pay 1/4 of **last year's** total tax (110% if last year's income was over \$150,000) to avoid underpayment penalties.
- First year on your own? Use your tax savings account: pay what you set aside each quarter.

## 6. The 15-minute monthly routine

| Categorize                                                      | Receipts                                                           | Miles                                                           | Profit                                                            |
|-----------------------------------------------------------------|--------------------------------------------------------------------|-----------------------------------------------------------------|-------------------------------------------------------------------|
| Go through last month's bank and card lines and label each one. | Snap a photo of anything over \$75 the same day (an app files it). | Check the mileage log; a phone app records trips automatically. | Income minus expenses = what you really made. Move the tax share. |

## 7. Keep these at least 3 years

1099-K / 1099-NEC forms · suite lease · bank and card statements · receipts · mileage log · estimated-payment confirmations · last year's tax return.

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